

A New Value Proposition for the AMA



Outline

- Current Challenges
 - AMA's Role in Healthcare Reform
 - Needs of the providers
 - Needs of the practitioners
 - Needs of the patients
 - AMA's Opportunity to enable Value
 - Positioning AMA at the forefront of Healthcare
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Current Challenges

- AMA is facing an eroding member base.
- Average membership age has been steadily increasing.
- Profits have declined significantly in 2008 (before the recession)
- Many practitioners no longer look to the AMA for innovation
- AMA is competing with many other organizations for mindshare & wallet [e.g. ADA, ACC, HIMSS, ...]
- Healthcare has reached a precipice and everyone is looking to the government for answers (be happy what you wish for...)

AMA's Role in Healthcare Reform

- Still a relevant voice that should be heard by the government
- The stakeholders are looking for answers
 - Practitioners are worried about quality & income
 - Providers are worried about loss of control & income
 - Patients are worried about quality, loss of control, and income as well
- Opportunity for unifying leadership to provide guidance and direction for change (much of which will be disruptive)
- Opportunity to encourage collaboration and cooperation to solve the healthcare needs in the US and across the world
- Opportunity to create a “system” of healthcare guided by consistent value-driven metrics (outcomes)

Needs of the Providers

- Need to get the pharmaceutical and device manufacturers, the insurers, and healthcare suppliers to become outcome driven instead of income driven (i.e. results)
- Need to increase collaboration NOT competition
- Need to the providers understand how to identify, measure and deliver value throughout the healthcare value network
- Need to move towards a shared revenue model where everyone can still win, but not at the expense of others (esp. the patients & the public)

Needs of the Practitioners

- Need to improve diagnostic capabilities in a cost effective manner
- Need to improve clinical processes to provide consistent levels of quality
- Need to move beyond service and deliver an experience
- Need a way to measure value on an individual and collective basis

Needs of the Patients

- Need to have affordable healthcare
- Need to have attainable healthcare
- Need to have more accessible healthcare
- Need consistent levels of quality (results)
- Need to deliver a total healthcare experience
 - Need to ensure their functional outcomes met
 - Need to ensure their emotional outcomes met
- Need to move towards a continuum of care (beyond the hospital, into clinics, and into the home)

AMA's Opportunity to enable Value

- What if the AMA innovated their business model to help address these needs ?
- What if the AMA could assess these needs in a quantifiable manner ?
- What value could be created with this information ?
- What role could the AMA play in enabling value across healthcare (globally) ?

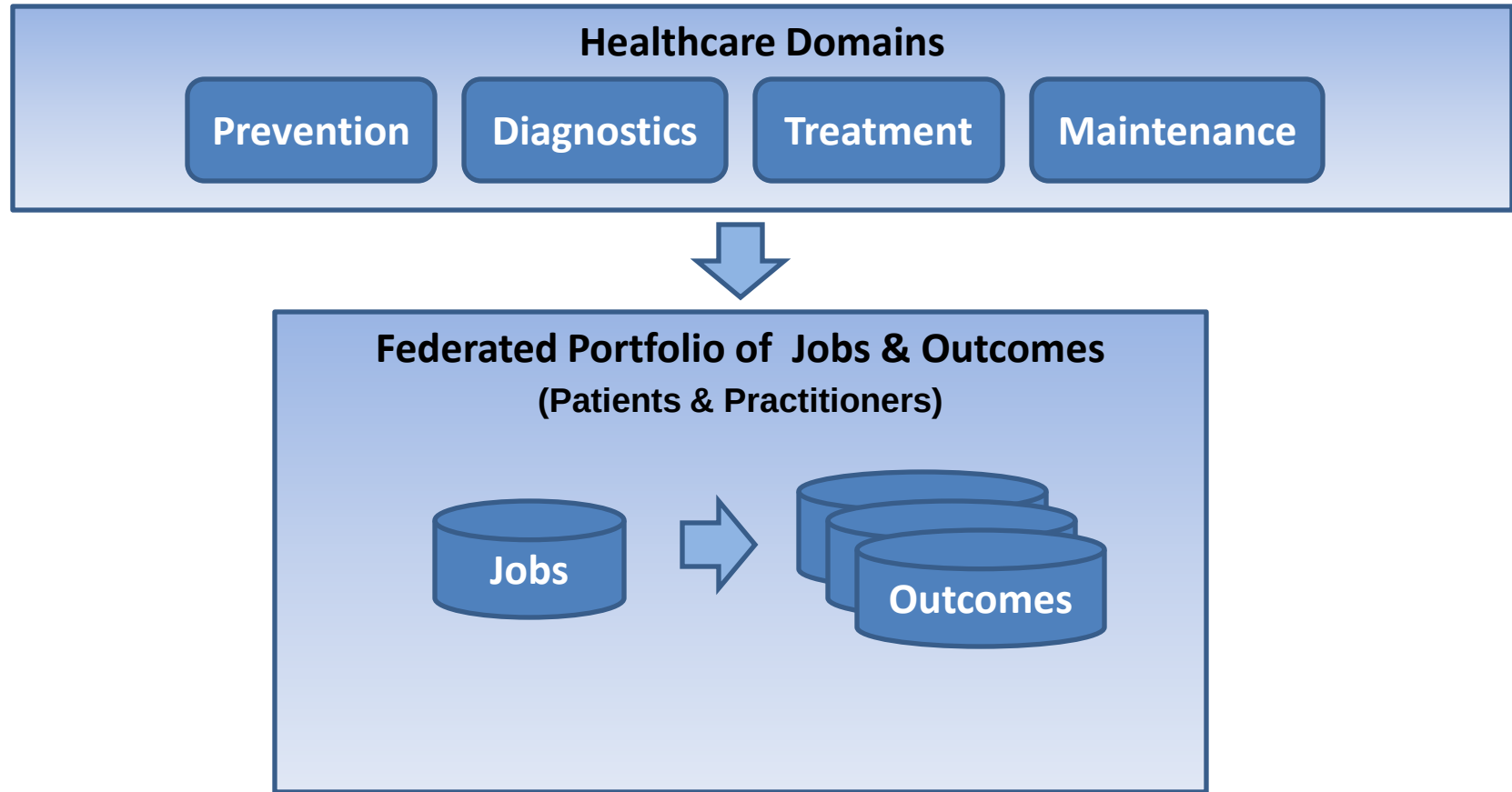
Positioning AMA at the forefront of Healthcare

- Assume that it is indeed possible to capture these needs in a quantifiable manner (because you can...)
- Assume that it is possible to warehouse this data and use it to prioritize innovations in products & services across healthcare (because you can...)
- Assume that it is possible to create a portfolio of healthcare innovation (because you can...)

Moving from Assumptions to Implementation

- Establish a program focused on mapping the Jobs & Outcomes across the healthcare domain
- Establish a portfolio of opportunities and ideas to address the unmet needs
- Establish a prioritization model to direct resources in an efficient manner
- Establish a shared revenue model as part of a collaborative to address these unmet needs

Value Measurement Platform for Healthcare



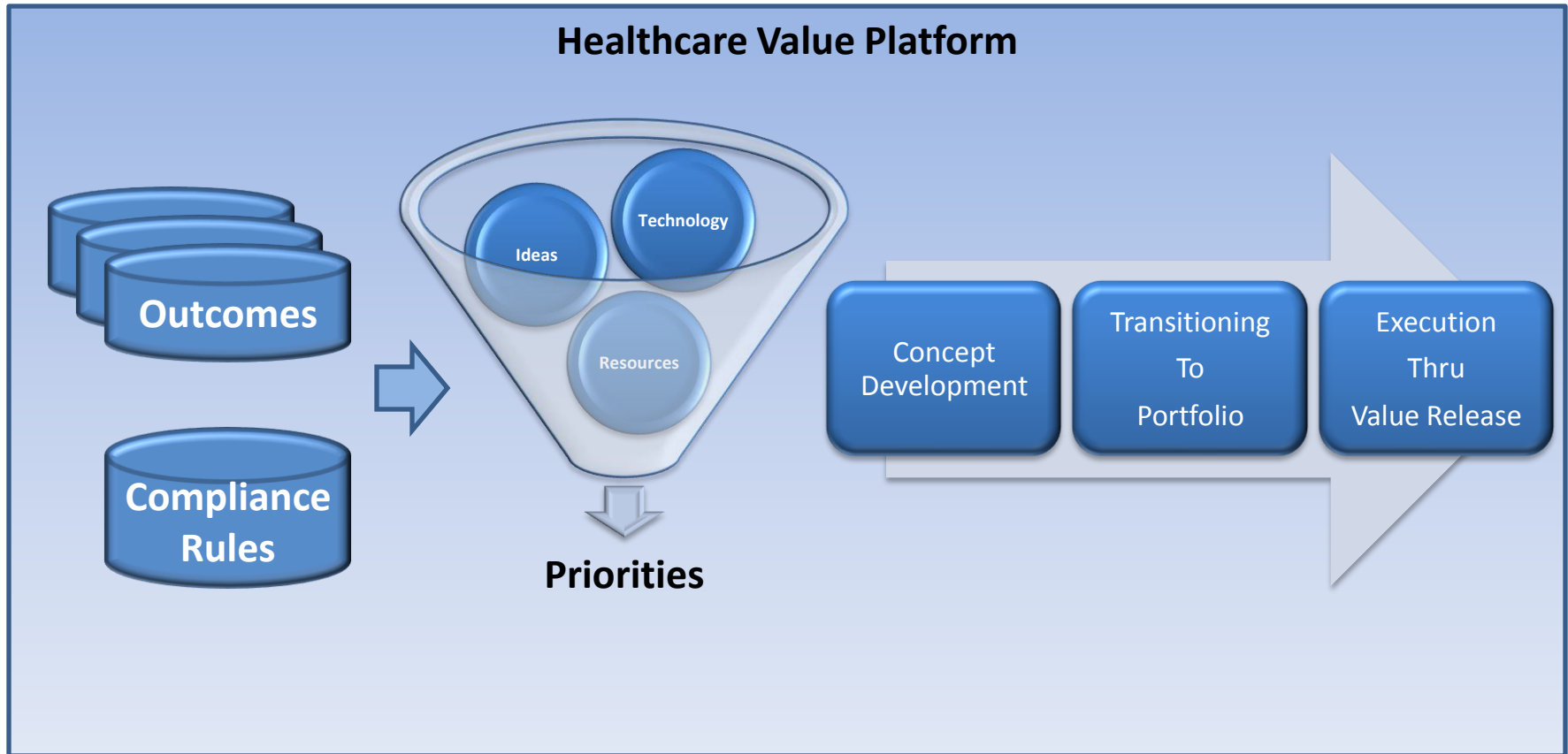
Value is measured through Outcomes => Outcomes are used to enable value

Measuring Value for Healthcare

- Build a portfolio of jobs & outcomes
 - For measuring value
 - For capturing customer* needs
 - For guiding innovation

- * The focus is on Patients and Providers in the Healthcare Value Network

Enabling Value for Healthcare



Efficient value delivery for transforming healthcare and driving value

Enabling Value for Healthcare

- Build an innovation portfolio to drive value
 - Portfolio of Ideas
 - Portfolio of Innovators
 - Portfolio of Technology
 - Pipeline of Innovations (Products & Services)
 - Managed IP (to encourage collaboration)

Engaging Providers & Innovators

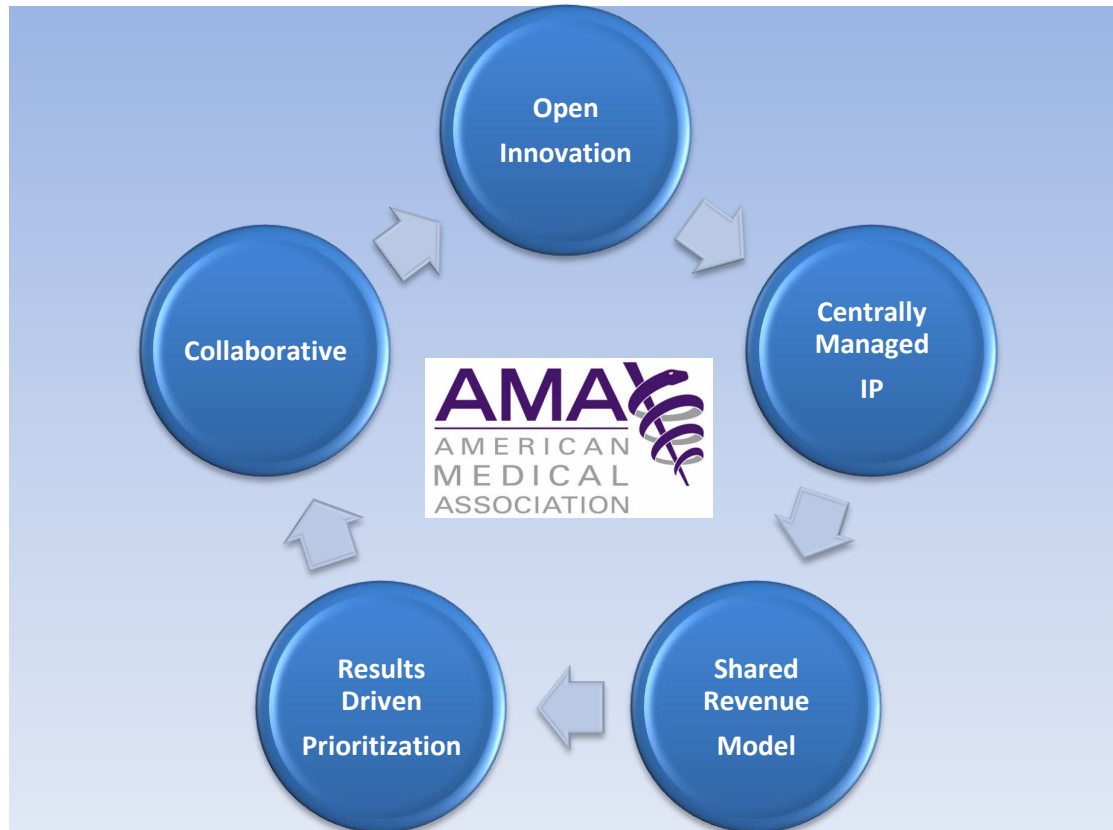
- By identifying the priorities for healthcare upfront, the AMA can de-risk the upfront investments for new products & services
- By using a managed IP model, the AMA can encourage collaboration and open innovation
- By creating a shared revenue model, the AMA can even the playing field for smaller players

Reducing Costs & Driving Value

- Today....
 - Every company creates value based on their perceived understanding of customer needs
- Tomorrow...
 - The AMA can will be able to provide a beacon of truth for understanding customer needs to efficiently guide the providers to build the right products & services to deliver value to customers

Creating a New Business Model

- Provides new value creation
- Repositioned for leading healthcare change
- Relevant to all Providers, Practitioners, and Patients
- Provides thought leadership for guiding change and innovation



- Orchestrates a unified value network for delivering efficient, affordable, and accessible healthcare to meet the unmet needs of customers
- Ensures value can be measured, improved, and sustained

Positioning the AMA to Lead Healthcare Reform

